WW ▼ SHORT CONSUMER / WEIGHT LOSS Jun 8, 2026

WW International: A Smaller Loan on a Shrinking Business

Four reasons, in the order we would underwrite them. Subscribers are down. The loan that survived bankruptcy is not covered by adjusted EBITDA. The old $1.6 billion stack does not make this list, because it was discharged.

EXECUTIVE SUMMARY

We are short WW International, Inc., the company that operates Weight Watchers. The ticker is still WW, on Nasdaq. The corporate name is still WW International, Inc. Chapter 11 was filed on May 6, 2025. The company emerged on June 24, 2025. On the way out, about $1,116 million of prepetition credit facilities and $500 million of 4.500% senior secured notes due 2029 were discharged. The debt that replaced them is a $465 million senior secured term loan due June 24, 2030. The rate in effect at March 31, 2026 was 10.51%.[1][2]

That smaller loan is still too much debt for the business in the latest quarter. Subscription revenue was $167.4 million, down 9.6% from $185.2 million. End-of-period subscribers were 2,659.2 thousand, down 22.6% from 3,434.1 thousand. Adjusted EBITDA was negative $1.8 million. Interest expense was $11.5 million. Operating cash flow was a use of $33.5 million. A contractual cash sweep of $26.8 million is due on June 24, 2026. Clinical subscriptions are growing. The company says they have not offset the decline in the behavioral business.[1]

The year-ago figures in this note are Predecessor results, from before fresh-start accounting. We use the company's own subscriber and revenue comparisons. We do not compare the $5.20 loss per share on about 10 million successor shares with the $0.91 loss on 80.1 million predecessor shares. Those are different equities.

#	REASON	LIKELIHOOD	IMPACT	TIMING
1	Subscribers down 22.6%, and clinical does not replace them	High	Severe	The March quarter, which is the seasonal high
2	The $465 million loan is not being earned	High	Severe	Coupon now; $26.8 million sweep on June 24, 2026
3	GLP-1 is the competitor and the product	High	High	Ongoing
4	Marketing rose while revenue fell	High	High	This quarter's spend

How we rank the short. Likelihood and impact are Froth City's judgment. Timing is when the May 7, 2026 filing says the dollars fall due, or when the comparison is already in the quarter.

END SUBSCRIBERS

2.66M

Q1 SUBSCRIPTION REVENUE

$167M

TERM LOAN PRINCIPAL

$465M

RATE AT MARCH 31

10.51%

Q1 ADJUSTED EBITDA

$(1.8)M

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01 The subscriber base shrank

Weight Watchers reports one segment and two businesses inside it. Behavioral is the digital subscription, with workshops as an add-on. Clinical is Weight Watchers Clinic, sold with the digital subscription and workshops. End-of-period subscribers are company-owned operations. The first quarter is the one the company says is typically the high point of the year, with the count historically declining after that. The comparison below is not a trough.[1]

	Q1 2026	Q1 2025	CHANGE
Behavioral, end of period	2,462.6	3,299.4	(25.4%)
Clinical, end of period	196.6	134.8	45.9%
Total, end of period	2,659.2	3,434.1	(22.6%)
Behavioral subscription revenue	$128.5	$155.7	(17.5%)
Clinical subscription revenue	$38.8	$29.5	31.8%
Total subscription revenue	$167.4	$185.2	(9.6%)

Table 1. Subscribers in thousands, and subscription revenue in millions, as reported. Q1 2026 is Successor. Q1 2025 is Predecessor. Percent changes are the company's.

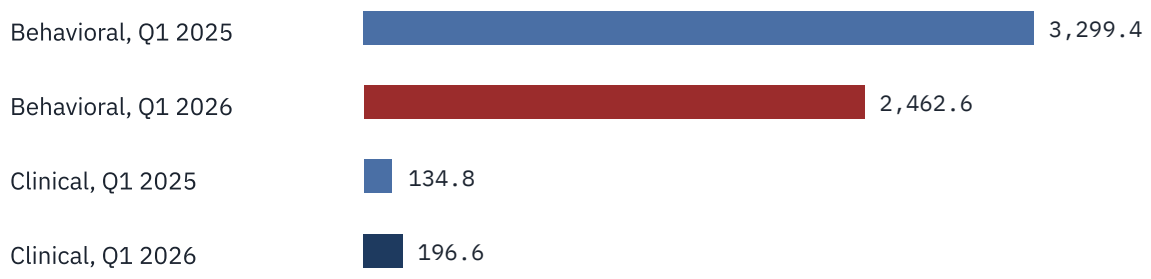


Figure 1. End-of-period subscribers, thousands. Bars are scaled to 3,299.4 thousand. Clinical grew. It is still a small bar next to the behavioral decline. Source: WW Form 10-Q for the quarter ended March 31, 2026.

Clinical end subscribers of 196.6 thousand are 7.4% of the 2,659.2 thousand total. Clinical subscription revenue of $38.8 million is 23.2% of the $167.4 million total, because clinical monthly

revenue per average subscriber was $79.23 against $16.82 for behavioral. The mix shift raised total monthly revenue per average subscriber from $18.24 to $20.59. It did not raise total subscription revenue. The company attributes the behavioral decline to a lower incoming base, bankruptcy-related coverage especially in international markets, and recruitment headwinds it calls secular. It attributes the clinical increase to Med+, demand for lower-priced GLP-1 access including the Wegovy pill, marketing in the peak season, and behavioral members moving into clinical.[1]

One comparison cuts the other way, and the filing says so. End-of-period clinical subscribers in the first quarter of fiscal 2025 included the compounded GLP-1 offering, which was discontinued on May 22, 2025. The 45.9% increase is against a base that still contained a product the company no longer sells. Clinical grew anyway. The total still fell. Likelihood is high because both counts are reported. Impact is severe because subscription revenue is 167.4 of 168.3 million of total revenue. Timing is this quarter, with the company's own statement that the first quarter is usually the high-water mark.[1]

02 The loan that remained

The prepetition credit agreement of April 13, 2021 provided $1,175 million: a $1,000 million term loan due April 13, 2028, and a $175 million revolver due April 23, 2026. The same day the company issued $500 million of 4.500% senior secured notes due 2029. At emergence, about $1,116 million under the credit facilities and all $500 million of the notes were discharged. The new facility is a five-year term loan of $465 million, borrowed on June 24, 2025, maturing June 24, 2030. At March 31, 2026, principal outstanding was still $465 million. The contract rate on the Term SOFR option is Term SOFR plus 6.80%, with a 0.50% floor. The rate in effect was 10.51%. The loan is secured by substantially all of the assets of the company and the U.S., U.K., and Dutch guarantors.[1]

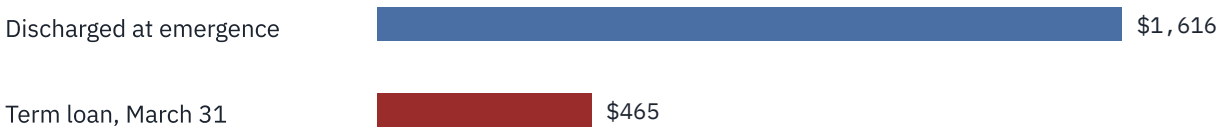


Figure 2. Millions of dollars. Discharged amount is about $1,116 million of credit facilities plus $500 million of notes. The bar is scaled to $1,616 million. The remaining loan is smaller. It is the loan this note underwrites. Source: WW Form 10-Q.

Interest expense in the quarter was $11.5 million. The 10.51% rate on $465 million is about $48.9 million a year, which is our arithmetic on the stated rate, not a company guide. Adjusted EBITDA was negative $1.8 million. EBITDA was negative $3.1 million. Operating loss was $30.4 million. The interest bill is not covered by the earnings measure the company uses to describe ongoing operations. Depreciation and amortization of $25.9 million, up

from $6.9 million a year earlier, explains a large part of the GAAP operating loss and does not explain the negative adjusted EBITDA. Fresh-start accounting made the GAAP loss larger. It is not the whole loss.[1]

The near-term cash claim is a sweep, not a maturity wall. The credit agreement requires prepayment of unrestricted cash above $100 million, measured on the last ten calendar days of the first quarter. The company classified $26.8 million of principal as current, due June 24, 2026. That date is sixteen days after this note. Unrestricted cash at March 31 was $120.9 million, of which $50.7 million was at foreign subsidiaries. There were no financing cash flows in the quarter. The 2030 maturity is not a 2026 refinancing. The coupon and the sweep are. Likelihood is high. Impact is severe relative to negative operating cash flow. Timing of the sweep is this month.[1]

03 GLP-1 is the competitor and the product

The filing describes the category in one place, and it is the company's language, not ours. It expects continued market disruption, competitive pressure, and a shift in consumer behavior, including rapid adoption of GLP-1 and other weight-loss medications, an evolving regulatory landscape, and competition from new entrants. It says those factors have hurt the business. Clinical is the response: access to lower-priced GLP-1 options, including what the company calls the new Wegovy pill, plus migration of behavioral subscribers into Med+.[1]

Clinical monthly revenue per average subscriber fell from $86.70 to $79.23, an 8.6% decline the company ties to longer commitment plans at a lower rate per month and to the end of the compounded GLP-1 offering. Behavioral monthly revenue per average subscriber rose from $15.87 to $16.82. The franchise can charge a clinical price. It does not own the drug. A lower pill price that helps recruitment also compresses the clinical rate, which is what the quarter shows. Likelihood that this competition continues is high, because the company describes it as the current market, not a one-quarter event. Impact is high, and it is already inside reason 1. We rank the mechanism third so the subscriber count, which is measured, stays first.[1]

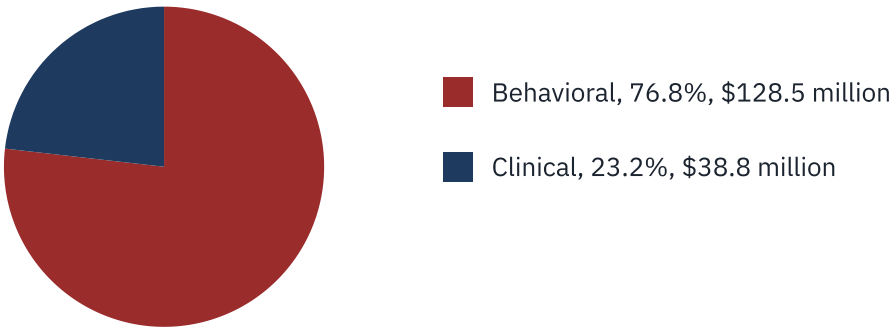


Figure 3. Subscription revenue, three months ended March 31, 2026. Clinical is 23.2% of subscription revenue and 7.4% of end subscribers. Source: WW Form 10-Q.

04 More marketing, less revenue

Revenue was $168.3 million, against $186.6 million. Gross profit was $118.7 million, against $132.9 million. Gross margin was 70.5%, against 71.2%. The product still throws off gross profit. The leak is below it. Marketing was $92.9 million, against $78.8 million. That is 55.2% of the quarter's revenue: 92.9 divided by 168.3. Selling, general and administrative expense was $48.1 million, against $35.6 million. Product development was $8.1 million, against $11.1 million. Operating loss was $30.4 million, against $20.2 million.[1]

Cash followed the spend. Operating cash flow was a use of $33.5 million, against $15.0 million provided a year earlier. The company attributes the swing to the timing of payables and accrued liabilities and to higher marketing. Investing cash flow was a use of $5.8 million, mostly capitalized software, against $3.2 million. Financing cash flow was zero. A business that spends more to recruit, loses subscribers in aggregate, and consumes cash is not growing out of the coupon. Likelihood is high. Impact is high because the cash use and the sweep land in the same season. Timing is the quarter just filed.[1]

05 What the price assumes

We do not publish a price target. What follows is arithmetic on figures we can cite. It is not a forecast.

ITEM	FIGURE	HOW IT IS DERIVED
Close, June 5, 2026	$16.25	Yahoo Finance unadjusted close[3]
Common shares, April 20, 2026	9,998,760	Cover of the March 31 10-Q[1]
Equity value at the close	$162.5 million	9,998,760 × 16.25
Term loan principal	$465.0 million	Outstanding under the new facility[1]
Unrestricted cash	$120.9 million	Cash and cash equivalents[1]
Illustrative enterprise value	$506.6 million	162.5 + 465.0 – 120.9
Book equity	$265.6 million	March 31, 2026[1]
Equity value ÷ book equity	0.61×	162.5 ÷ 265.6

Table 2. Valuation arithmetic. Debt, cash, and book equity are March 31, 2026. The share count is the April 20, 2026 cover count. The price is the June 5, 2026 close, the last trading day before this note.

The balance-sheet carrying amount of the loan is $465.4 million, the $26.8 million current portion plus $438.6 million long-term, against $465.0 million of principal. We use principal. The difference is $0.4 million. Restricted cash was $5.8 million and is not in the cash deduction. The share count is six weeks older than the close and three weeks older than March 31, when 9,996 thousand shares were issued. We do not have a June 5 count. [1]

An enterprise value of $506.6 million on negative $1.8 million of quarterly adjusted EBITDA is not a multiple we will annualize. Four times a negative quarter is a larger negative, and a seasonal business does not work that way in either direction. Book equity of $265.6 million sits on goodwill of $200.0 million and intangible assets of $471.5 million, most of the $881.1 million of total assets. The common at $16.25 trades at 0.61 times that book equity. The price can be below book and still be wrong if the intangibles are the brand that just lost 22.6% of its end subscribers. The price assumes clinical growth closes a gap the latest quarter did not close, and that the 10.51% loan is refinanced in 2030 by a business that is earning the coupon.

06 Risks to the short

Clinical is the risk to this short. End subscribers there rose 45.9%, and revenue rose 31.8%, after the company had already dropped compounded GLP-1. If Med+ and lower-priced GLP-1 access keep that pace, and if behavioral decline slows, reason 1 gets weaker. Clinical is 7.4% of subscribers. It has to get much larger before it offsets a 25% drop in the behavioral base. That is a possible path. It is not the path in the quarter. [1]

Liquidity, on management's account, covers the next twelve months. Cash was $120.9 million. The company says it does not foresee needing additional sources of liquidity in that window. The maturity is June 24, 2030, not this summer. The sweep reduces cash. It is not a default. Gross margin of 70.5% means the remaining subscribers are still profitable before marketing. A cut in the $92.9 million of marketing would hurt recruitment and would also shrink the operating loss. We are not assuming they spend at this rate forever. [1]

The short is wrong if the subscriber decline stalls, clinical revenue becomes large enough to lift the total, and adjusted EBITDA turns positive by enough to cover a 10.51% coupon on $465 million. The loan is smaller than the one the bankruptcy discharged. A buyer who stops at that sentence has the wrong debt story, and a short who needs another Chapter 11 in 2026 has the wrong timing.

07 Other considerations

These are real, and they are not the numbered short.

The old debt story is wrong. A short built on the 2021 term loan, the revolver, or the 4.500% notes due 2029 is a short on claims that were discharged on June 24, 2025. Equity in the reorganized

company was mostly given to those creditors: 9.1 million shares to holders of prepetition first-lien claims and 0.9 million shares to holders of the old common stock. The stock in this note is that equity. Predecessor earnings per share are not a guide to it. [1]

The name and the ticker. As of the May 15, 2026 current report, the registrant is WW International, Inc., and the common stock, no par value, is listed on Nasdaq as WW. We did not find a post-emergence ticker change in the filings public by this note. [2]

The chief executive seat. Tara Comonte resigned as president and chief executive officer effective March 31, 2026. Effective April 3, 2026, the board appointed Felicia DellaFortuna, the chief financial officer, and Jonathan Volkmann, the chief operations officer, to an interim office of the chief executive, and the company said it was searching for a permanent chief executive. On May 14, 2026, Comonte and the company signed a settlement: $1,850,000 in cash, of which $545,205.48 is paid on the first payroll date after the release becomes irrevocable and $1,304,794.52 is paid on October 1, 2026, plus $150,000 of attorneys' fees. A leadership gap can distract. It is not why subscribers fell 22.6%, and the $1.6 million of non-CEO separation expense in the EBITDA bridge is a different item. We leave the settlement here. [1] [2]

Tax on a loss. The tax provision was $10.8 million on a pretax loss of $41.2 million. The company points to a valuation allowance and the base-erosion tax. Net loss was $52.0 million. The tax makes the GAAP loss larger. The operating thesis does not need it. Goodwill was still $200.0 million at quarter end. We do not have an impairment charge to cite. [1]

Fresh-start amortization. Depreciation and amortization of $25.9 million is the main bridge between an operating loss of $30.4 million and adjusted EBITDA of negative $1.8 million, along with $11.5 million of interest that adjusted EBITDA excludes by definition. Anyone who stops at the GAAP loss is overstating the cash loss. Anyone who stops at "they cut the debt in half" is ignoring that the remaining earnings do not cover the remaining coupon.

08 Notes

1. WW International, Inc., Form 10-Q for the quarter ended March 31, 2026, filed May 7, 2026. Unless a sentence is footnoted elsewhere, the WW figures in this note are from that filing. Share counts and dollar amounts in the financial statements are in thousands. Subscriber counts in the metrics table are in thousands. We have expressed both in the units stated in each sentence. sec.gov.
2. WW International, Inc., Form 8-K filed May 15, 2026, reporting the May 14, 2026 settlement with Tara Comonte. The cover lists common stock, ticker WW, on Nasdaq. sec.gov.
3. Unadjusted closing price of $16.25 on June 5, 2026, the last trading day before this note, from the historical price table at Yahoo Finance. The June 8 close is not used.

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